

- from: Mark Zuckerberg ([REDACTED])
- to: David Ebersman([REDACTED]), Mark Zuckerberg([REDACTED])
- time: Mon Feb 27 23:41:03 PST 2012 (1330414863647)
- subject: null
- body

One business questions I've been thinking about recently is how much we should be willing to pay to acquire mobile app companies like Instagram and Path that are building networks that are competitive with our own. These companies have the properties where they have millions of users (up to about 20m at the moment for Instagram), fast growth, a small team (10-25 employees) and no revenue. The businesses are nascent but the networks are established, the brands are already meaningful and if they grow to a large scale they could be very disruptive to us. These entrepreneurs don't want to sell (largely inspired our success), but at a high enough price -- like \$500m or \$1b -- they'd have to consider it. Given that we think our own valuation is fairly aggressive right now and that we're vulnerable in mobile, I'm curious if we should consider going after one or two of them. What do you think about this?

- from: David Ebersman ([REDACTED])
- to: Mark Zuckerberg([REDACTED]), David Ebersman([REDACTED]),
- time: Tue Feb 28 09:37:43 PST 2012 (1330450663315)
- subject: null
- body

I tend to have a high bar for M&A considerations. All the research I have seen is that most deals fail to create the value expected by the acquirer. My instinct is that many deals are done because the CEO is frustrated that the business is not where they want it to be, they would rather do something than nothing, and M&A seems like the biggest lever they have. This is a bad reason to do a deal. So for these two ideas specifically, I would ask you to find a compelling elucidation of what you are trying to accomplish. 1) neutralize a potential competitor? Bad reason in my book since someone else will spring up immediately in their place. There will always be consumers who are instinctively negative about the industry leaders and want to work with the upstarts. We will always have upstarts nipping at our heels. We have to win against competitors by having better products. 2) acquire talent? Seems expensive for this. 3) integrate their products with ours in order to improve our service? This can be a very compelling reason, if you have a clear vision for how the implementation would be great for users and that we cannot do the product improvements ourselves in a reasonable timeframe. 4) other? Happy to discuss further.

- from: Mark Zuckerberg ([REDACTED])
- to: David Ebersman([REDACTED]), Mark Zuckerberg([REDACTED])
- time: Tue Feb 28 09:55:42 PST 2012 (1330451742327)
- subject: null
- body

It's a combination of (1) and (3). The basic plan would be to buy these companies and leave their products running while over time incorporating the social dynamics they've invented into our core products. One thing that may make (1) more reasonable here is that there are network effects around social products and a finite number of different social mechanics to invent. Once someone wins at a specific mechanic, it's difficult for others to supplant them without doing something different. It's possible someone beats Instagram by building something that is better to the point that they get network migration, but this is harder as long as Instagram keeps running as a product. (3) is also a factor but in reality we already know these companies' social dynamics and will integrate them over the next 12-24 months anyway. The integration plan involves building their mechanics into our products rather than directly integrating their products if that makes sense. By a combination of (1) and (3), one way of looking at this is that what we're really buying is time. Even if some new competitors springs up, buying Instagram, Path, Foursquare, etc now will give us a year or more to integrate their dynamics before anyone can get close to their scale again. Within that time, if we incorporate the social mechanics they were using, those new products won't get much traction since we'll already have their mechanics deployed at scale.

- from: Mark Zuckerberg ([REDACTED])
- to: David Ebersman([REDACTED]), Mark Zuckerberg([REDACTED]),
- time: Tue Feb 28 10:43:09 PST 2012 (1330454589214)
- subject:
- body

Above, I didn't mean to imply that we'd be buying them to prevent them from competing with us in any way. Buying them would give us the people and time to incorporate their innovations into our core products, which is how we'd do the integration rather than actually combining the products. I'm mostly excited about what the companies could do together if we worked to build what they've invented into more people's experiences.

From:
To:
Sent:
Subject:

2/13/2012 3:44:44 AM
Chat with [REDACTED]

6:51 PM **me:** hey what's up
driving to dinner but will be able to type more in like 5 min

6:52 PM [REDACTED] can we talk for a minute now?
or 5 minutes from now is ok too
me: yes
go for it

6:53 PM [REDACTED] k. so, not surprisingly, zuck pinged me to say "i'm not sure if this is a good idea yet, but i think
maybe facebook should buy instagram, what do you think?" i obviously want to discuss with you
before i reply to him
me: got it
you know him better than I do

6:54 PM a) will he go into destroy mode if I say no
b) will he understand if we choose to raise instead

6:55 PM c) will he understand that I don't want to shutter the product and that doesn't align with what FB does
with companies
[REDACTED] a) probably (and probably also if we just don't engage at all)
b) no, he'll go harder into destroy mode then

6:56 PM c) what i think he would most likely want to see is for instagram to turn into a stand-alone mobile
facebook photos app, like beluga turned into facebook messenger

6:57 PM (re c he hasn't indicated anything to me at all there, i'm just speculating)
me: I thought they were already working on something internally for a long time

6:58 PM well what's our goal here then
[REDACTED] i could see that merging into instagram
me: fair enough

6:59 PM are we sure we can't downplay our hand
say we're focused on pretty photos and an open name space and we're not sure how that fits in?
I'm riffing here
[REDACTED] our goal depends on what you want to do. if you're actually interested in considering selling at the
right price, then i would (slowly) talk with him and try to talk with twitter in parallel. (do not slow
down the series b discussions in any event.) if you are of the mind "i don't want to sell at any price"
then we need to figure out how to shut this down with minimal damage. i think that means playing it
out REALLY slowly with him.

7:00 PM yeah, downplaying our position could be a way to play it out really slowly in the latter scenario

7:02 PM **me:** well trying to focus on the questions an hesitations he's already having (pretty photos, namespace,
open)
I'm not interested really - even at the right price I don't think so

7:03 PM [REDACTED] ok then we should figure out how to shut it down
me: I think so.

7:04 PM [REDACTED] any ideas? downplaying our position is a good thought but he's way too smart for "oh never mind
little old us, we're just pretty pictures"
me: it's a little bit crazy but I don't think they go away as an option in the future
sure I'd want to be smarter than that too

7:05 PM [REDACTED] here's one idea: i could tell him "i don't think it makes a ton of sense and i think if you start down
that path you risk a bidding war with twitter and google for this, whereas if you leave it alone it'll
probably just go its own way"
me: well my q is why would he ask you knowing it would get to me
[REDACTED] ie facebook is better with an independent instagram than with a n instagram that's part of twitter or

google

it's a way of approaching you indirectly. smart.

me: yep

7:06 PM [REDACTED] of course if i make the "leave instagram alone for facebook's sake" argument, he will conclude that it's best to crush instagram. i guess there's not that much that can be done about that though.

me: hah

7:07 PM unless we figure out how to show that insta is pushing lots of content in and that a good thing but he already knows what small % goes in given press articles

and we are going to have overlap in features

7:09 PM or you could respond and get more info

like try to understand why he's thinking abt it

7:10 PM "that depends on why you might think its a good idea and bad idea, I can help give pros and cons"

then we can craft the approach rather than guessing

7:11 PM [REDACTED] yeah that could make sense. but i doubt he'll tell me his full rationale. he already told me that he thinks it's bad for anybody else to control posting of photos onto fb at large scale (keep that between us please), but i think there's more to it

i suspect that what he's really worried about is twitter.

7:12 PM if twitter and instagram became one company it would make life more difficult for facebook.

me: everything is btw you and I

[REDACTED] and instagram is a more natural fit for twitter as a product.

yup

me: I'd agree on that hunch

7:13 PM given jack and I having coffee tues

and [REDACTED] drinks tomorrow

[REDACTED] why are you meeting with [REDACTED] directly if you're not serious about doing something with twitter?

7:15 PM **me:** well - he needs to know we're not interested

and they haven't said anything

[REDACTED] how's this as a reply to mark: "why do you think it's a good idea? i've never heard kevin express interest in selling, and the product seems pretty different to me. i actually think instagram can do well as a stand-alone brand advertising business fwiw."

7:16 PM (he told me he thinks instagram can't be a good independent business because of how much it's about photos, but i think that's partially posturing.)

the only reason to include my last sentence is to remove his fear that there will be a twitter deal

me: to be clear theyve said nothing - and I want to maintain a good relationship so I think avoiding him isn't a good idea when I can just say n

7:17 PM no

that is unless you think there's a better way to turn them down

and also I thought we wanted some leverage of interest for fundraising

7:18 PM [REDACTED] yeah i think that's fine

7:20 PM **me:** I think instead of product seems diff - you may pt out how the existing structure (following and namespace) doesn't mesh well

or would make it hard to be successful inside

successful acq

7:21 PM [REDACTED] sure

me: but again he's prob thinking more that he doesn't want twitter to have it

less that it will be successful inside

7:22 PM [REDACTED] my only concern with that approach is it signals "this is a better fit for twitter". maybe better to

leave it more vague. why do you think it's a good idea? i've never heard kevin express interest in selling, and the product seems pretty different to me. i actually think instagram can do well as a stand-alone brand advertising business fwiw

oops never mind everything after "vague" above, i hit paste by accident

me: got it

ya I hear that

7:23 PM I mean honestly he seems like a guy with a clear sense of what he wants

umm yeah
me: and I think getting more info is all we can do
I don't know that we'll be able to sway
7:24 PM in fact what worries me abt the response is that we signal that we're trying too hard to avoid it
any thoughts on how to not do that?
7:25 PM **me:** I don't know if we need the stand alone biz thing I think
ok. so just this: "why do you think it's a good idea? i've never heard kevin express interest in
selling, and the product seems pretty different to me."
7:26 PM **me:** "I've never heard Kevin express interest in selling. the product seems pretty different than what
you're going after. why do you think it's a good idea?
7:27 PM q at the end?
I dont care abt the middle sentence
meaning I was wordsmithing
7:28 PM sure that's fine
me: ok why don't we see where that goes
7:29 PM I do think we have to be careful with twitter conversations so he doesn't get conflicting repts
yep
7:30 PM **me:** don't want to make any enemies
for sure
but mark doesn't react emotionally, he reacts based on competition
just sent him that language, we'll see what he says
7:31 PM **me:** ok good
that's why i think signaling no competition is good
yeah, but he's too smart to take our word for it ;)
7:32 PM i do think the biggest hot button for him is the possibility of a sale to twitter
me: bottom line I don't think we'll ever escape the wrath of mark
haha
me: it just depends how long we avoid it
that's why we need to raise 70 build an army and keep our heads down
one thing to consider is doing some PR around how much we love facebook platform and how
awesome it is to be a complimentary player to facebook
7:33 PM **me:** it will come
when? I don't know
that's a good idea
yeah i think that's a key project to point our pr person at
we need to make it as hard as possible for fb to mess with our ability to get distribution on the
platform
me: reached out to me again - broke his own rule
7:34 PM haha
me: yah I agree
was he chill
me: yes
see he's learning :)
me: good
7:35 PM i think we should let him in, even if it's a small piece. he's such a good dude
haha
me: yah we have to plan for the inevitability of FB hating us
and i actually think we can put him to work recruiting engineers for us
yeah we do
me: I mean twitter is so different
and yet ...
i think he spends most of his time partying these days, so he has time to recruit for us
me: :D
I like a lot

██████████ and he actually has a good network out of google which i think is probably complimentary to yours

me: had good time with ██████████ and ██████████

██████████ is a good dude

██████████ (benchmark is about to gear up its engineering recruiting effort btw, but that won't spin up for at least a couple of months)

7:37 PM cool re ██████████ and ██████████. ██████████ is keen to do this and i think he can be helpful too. i honestly think ██████████ will help less with recruiting but he's a great guy

yeah ██████████ is a great guy, we should include him too. i think our existing plan to have him "fill in" the round makes sense

me: ya. path stuff with Kleiner?

██████████ basically i think we have room for one of dst, ██████████, or ██████████ and then we can have ██████████ and/or ██████████ and ██████████ fill in the rest once the lead sets the price

7:38 PM **me:** yep

well I'm planning on sending sig pages on the grants tonight and we start talking this week

7:40 PM ██████████ mark just replied and asked if anybody else has tried to buy instagram. i think the best reply is "i really shouldn't step over boundaries and talk about that, but the answer is not yet."

is that cool?

oh and then he also asked "should i just talk to kevin directly"? i think he's going to do that anyway, so i should tell him "yes"

me: isn't the first part contradictory with the second?

██████████ yes it is

7:41 PM **me:** yah tell him to talk to me and that I haven't mentioned anyone

██████████ but it signals that this won't be a precedent for my telling him that stuff in the future

ok will do

me: ok

then we should talk about how to respond

7:43 PM ██████████ how to respond to what?

me: he will reach out to me

7:44 PM I've avoided chatting once and failed

██████████ yeah. let's see what he says.

me: k

7:45 PM ok chat me later - just sat down to dinner cool?

or we can talk tomorrow

whatever's easiest

7:46 PM ██████████ sure. i'm landing in about an hour so will lose my wifi in about 30 minutes :)

have a good dinner ttyl

me: thanks - ttys

- from: Mark Zuckerberg ([REDACTED])
- to: [REDACTED], Mark Zuckerberg([REDACTED])
- time: Thu Apr 05 01:05:16 PDT 2012 (1333613116164)
- subject: null
- body

I just need to decide if we're going to buy Instagram

- from: Mark Zuckerberg ([REDACTED])
- to: [REDACTED], Mark Zuckerberg([REDACTED]),
- time: Thu Apr 05 01:12:03 PDT 2012 (1333613523286)
- subject: null
- body

We have this big issue right now because gaming is shifting from us to mobile platforms. It's causing all this negative momentum in a bunch of ways around gamer overall user engagement, ad spend from gamers, overall revenue, etc.

- from: Mark Zuckerberg ([REDACTED])
- to: [REDACTED], Mark Zuckerberg([REDACTED]),
- time: Thu Apr 05 01:13:53 PDT 2012 (1333613633057)
- subject: null
- body

Pinterest and Foursquare are likely more valuable markets than photos.

- from: Mark Zuckerberg ([REDACTED])
- to: [REDACTED] Mark Zuckerberg([REDACTED]),
- time: Thu Apr 05 01:14:49 PDT 2012 (1333613689779)
- subject: null
- body

Instagram can hurt us meaningfully without becoming a huge business though. For the others, if they become big we'll just regret not doing them.

- from: Mark Zuckerberg ([REDACTED])
- to: [REDACTED] Mark Zuckerberg([REDACTED]),
- time: Thu Apr 05 01:14:58 PDT 2012 (1333613698394)
- subject: null
- body

Or we can buy them then, or build them along the way.

- from: Mark Zuckerberg ([REDACTED])
- to: [REDACTED] Mark Zuckerberg([REDACTED]),
- time: Thu Apr 05 01:15:10 PDT 2012 (1333613710460)
- subject: null
- body

We're kind of already working on building some version of Foursquare.

Outlook E-mail

From: Mark Zuckerberg
Sent: 4/9/2012 10:09:37 AM
To: [REDACTED]
Subject: RE: CONFIDENTIAL ANNOUNCEMENT

Thanks. One reason people underestimate the importance of watching Google is that we can likely always just buy any competitive startups, but it'll be a while before we can buy Google.

From: [REDACTED]
Sent: Monday, April 09, 2012 10:04 AM
To: Mark Zuckerberg
Subject: Re: CONFIDENTIAL ANNOUNCEMENT

Well played.

Sent from my iPhone

On Apr 9, 2012, at 9:58 AM, "Mark Zuckerberg" > wrote:

Confidential – DO NOT SHARE

Hey everyone,

I'm excited to share the news that last night we reached an agreement to acquire Instagram.

Below is a post about the deal that I'm about to put on my timeline. Instagram has built a successful network and mainstream brand by focusing on building the best mobile photos experience. After spending a lot of time with the Instagram team over the last few months working on Open Graph, and over the last couple of weeks discussing this, it's clear we share the same values and vision for the future of mobile photos.

We are committed to keeping the Instagram brand and growing their app independently. We will also continue on our FB Camera work. Over time we can build these two products to move closer together as it makes sense.

As always, feel free to ask me any questions you have about this at this week's open Q&A.

Mark

Timeline post below:

I'm excited to share the news that we've agreed to acquire Instagram and that their talented team will be joining Facebook.

For years, we've focused on building the best experience for sharing photos with your friends and family. Now, we'll be able to work even more closely with the Instagram team to also offer the best experiences for sharing beautiful mobile photos with people based on your interests.

We believe these are different experiences that complement each other. But in order to do this well, we need to be mindful about keeping and building on Instagram's strengths and features rather than just trying to

integrate everything into Facebook.

That's why we're committed to building and growing Instagram independently. Millions of people around the world love the Instagram app and the brand associated with it, and our goal is to help spread this app and brand to even more people.

We think the fact that Instagram is connected to other services beyond Facebook is an important part of the experience. We plan on keeping features like the ability to post to other social networks, the ability to not share your Instagrams on Facebook if you want, and the ability to have followers and follow people separately from your friends on Facebook.

These and many other features are important parts of the Instagram experience and we understand that. We will try to learn from Instagram's experience to build similar features into our other products. At the same time, we will try to help Instagram continue to grow by using Facebook's strong engineering team and infrastructure.

This is an important milestone for Facebook because it's the first time we've ever acquired a product and company with so many users. We don't plan on doing many more of these, if any at all. But providing the best photo sharing experience is one reason why so many people love Facebook and we knew it would be worth bringing these two companies together.

We're looking forward to working with the Instagram team and to all of the great new experiences we're going to be able to build together.